

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$112.62 ▼ 1.31%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.56	Market Cap \$101.25B
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HOOD: Crypto Rules & Retail Boom Keep Bulls In Charge

WHAT HAPPENED

- HOOD drifted down 1.3% on light volume (12M vs ~30M average) — this is a yawn, not a selloff. When a stock dips on thin volume, it usually means buyers just stepped aside, not that sellers piled in. The stock is still parked near the upper end of its yearly range.
- Options flow is screaming bullish — put/call ratio of 0.45 means more than 2 calls bought for every put, plus someone grabbed 6,900+ \$116 calls expiring this month (8x the existing open interest). Translation: a big player is betting on a bounce back above \$116 within weeks.

WHY IT MATTERS

Today's dip is noise — the real story is that HOOD has become a direct beneficiary of the Trump-era crypto rulebook. The administration's push to classify most tokens as commodities (not securities) and the GENIUS Act framework for stablecoins means Robinhood can expand crypto trading, tokenized equities, and staking without the regulatory landmines that haunted it in 2023-24. The bullish institutional ownership (79.5%) plus call-heavy options flow tells me pros are positioning for the next leg up, likely tied to Q3 earnings in early November. What to watch: if retail trading volumes stay elevated into year-end (they tend to spike with crypto rallies and prediction-market activity around political events), the earnings print could blow past estimates.

POLICY & POLITICAL WATCH

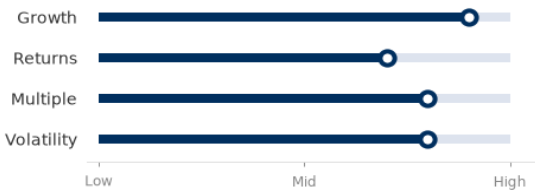
Three live policy threads matter here: (1) the CLARITY Act / crypto market structure bill moving through Congress — if it passes, HOOD's crypto business gets a legal green light to expand into staking, lending, and tokenized stocks (massive revenue unlock); (2) the SEC under current leadership has been actively friendly to retail brokers and dropped multiple enforcement cases against crypto firms — a tailwind that didn't exist 18 months ago; (3) prediction markets (think Kalshi-style event contracts) are getting CFTC blessing, and HOOD already launched them — if the regulatory door stays open, this is a brand-new revenue stream nobody's fully modeled yet. The risk flip side: any Democratic sweep in 2028 messaging could pressure the stock as traders price in regulatory reversal risk.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$112.62
12M Price Target	\$135.00
Upside / (Downside)	+19.9%
Market Cap	\$101.25B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	60.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$115.00	\$100.00
6 Months	\$150.00	\$128.00	\$90.00
1 Year	\$175.00	\$135.00	\$80.00
2 Years	\$220.00	\$160.00	\$70.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+2.2%) and Energy (+3.9% weekly) — this is the AI power-demand trade and the "government is spending on infrastructure" trade. Money is flowing into tangible-asset sectors.

COOLING OFF: Real Estate is wobbling (-0.7% weekly) as rate-cut expectations get repriced. Financials aren't in the top movers today, which is why HOOD is drifting.

ROTATION WATCH: Capital is rotating out of pure-growth tech into infrastructure and energy plays. HOOD sits awkwardly — it's financial, but trades like a tech/crypto proxy. Until crypto makes a new high or earnings catalyze it, expect choppy sideways.

RELATED PLAY: If you believe the crypto-friendly regulatory thesis, COIN (Coinbase) is the purer play, and the Bitcoin ETFs (IBIT) are the simplest expression. HOOD gives you crypto PLUS retail stock trading PLUS prediction markets — more diversified bet.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Benefiting from the same crypto regulatory tailwind — if HOOD lags COIN, it tells you the market views COIN as the cleaner crypto bet.
- SCHW (Charles Schwab): Boring old-school broker, but up on rising asset bases and stable net interest income — the "value" version of the trade.

HOOD CONTEXT: HOOD is sitting at 55% of its 52-week range — not leading, not lagging, just consolidating after a huge run from \$63 to \$153. This is a digestion phase, not a top. The call-heavy options flow suggests smart money thinks the next move is higher, not lower.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the stock has already doubled, so I'm not pounding the table at \$112; I'd be more aggressive on a dip to \$100.

POSITION SIZE: 2-4% of portfolio — this stock can swing 10% in a week, so size it where you can sleep.

ENTRY POINTS: Add on dips to \$105-110. If it gets flushed to \$95 on a macro scare, back up the truck.

TIME HORIZON: 12-24 months — the catalysts I'm waiting for are Q3 earnings (early November), the CLARITY Act vote, and whether prediction market revenue surprises to the upside.

WHEN TO BAIL: If monthly active users decline two quarters in a row, if crypto trading revenue drops 30%+ sequentially, or if the SEC/CFTC does a surprise policy reversal — I'm out.

HEDGING: Simplest hedge is to sell half if it rips to \$150 (lock in the gain, let the rest ride). More advanced: buy a \$100 put expiring in 3 months — costs a bit but caps your downside if crypto craters.